



CS 603: Managerial Decision Making

Course Code	CS 603
Course Name	Managerial Decision Making
L-T-P-C	3-0-0-3
Prerequisites	IC 210 Probability, Statistics and Random Processes; or, with instructors permission
Intended for	3rd, 4th year B. Tech./M.S./Ph.D.
Distribution	Discipline-elective for CSE B. Tech. students; Free elective for other B. Tech./M.S./Ph.D. students
Approval	4th Senate (May 2013)

Course Contents

- **Introduction to decision making:** Orientation, introduction to decision making, Introduction to decision analysis, framing decisions, applications of decisions framing to marketing and management. [6 Lectures]
- **Valuation and choice in certain and uncertain decision situations:** Valuing and choosing among certain outcomes, valuing and choosing among uncertain outcomes, applications of decision trees to decision making. [6 Lectures]
- **Use of heuristics and biases:** Introduction to different heuristics and biases, endowment effect, loss aversion, status quo bias, inter- temporal biases, other common biases in decision making under risk and uncertainty. [10 Lectures]
- **Real-world managerial decision making:** Decisions under uncertainty in the real world, managerial perspectives on risk and risk taking, regression analysis, improper linear models in decision making, when to trust your gut instincts, theory of thin slices. [8 Lectures]
- **More biases and heuristics under risk and uncertainty:** Availability, representativeness, anchoring-and-adjustment, illusion of control, confirmation bias. [6 Lectures]
- **Decision making in groups:** Decision making in groups and organizations, cognitive repairs, nudges, conclusions. [6 Lectures]

Text Books

1. J. Edward Russo & Paul Schoemaker, **Winning Decisions: Getting it Right the First Time**, Doubleday, 2002. [RS]
2. John S. Hammond, Ralph L. Keeney, & Howard Raiffa, **Smart Choices: A Practical Guide to Making Better Decisions**, Harvard Business School Press, 1999. [HKR]

Articles

1. JSTOR: Articles are available from www.jstor.org (accessible through any IIT computer).
2. HBS-online: Cases, articles, and teaching notes from Harvard Business School Press are available from <http://harvardbusinessonline.hbsp.harvard.edu>.